

Edward's Top Retirement Priority: High Retirement Income

Edward is 61-years-old and has been self-employed throughout his working years. He is only one year away from retirement and estimates that he will have accumulated \$1.5 million in retirement savings. In planning his product allocation strategy for retirement, he identifies his main goal to be achieving a spending of \$87,000 per year, after inflation. Edward is in excellent health; it should be noted that his parents lived well into their nineties.

As in the previous cases, the trade-off presented to Edward is illustrated in Figure 10.4 by the left line. In contrast to the other retirees, Edward is not concerned with leaving a significant sum to his estate. He hopes to perhaps leave only a portion of his nest egg to his favored charity and to cover any remaining expenses. Because Edward does not have a pension that will last for the remainder of his life, and given the good health experienced by him and his family, he is most concerned with maintaining a substantial spending rate and hedging against longevity risk.

Bearing in mind his financial circumstances and retirement priorities, Edward chooses the following product allocation: 32% will be allocated to the LPIA, 11% to the GLiB, and 58% to the SWiP. He will spend \$87,000 per year in real dollars and achieve an expected discounted bequest value of \$225,000 (or \$15 per initial \$100), which he finds to be adequate. The RSQ, or probability of meeting his spending goal is approximately 85%. Note that the 32% allocation to the LPIA category exceeds that of previous cases. This, of course, can be attributed to the product's excellent ability to hedge against longevity risk. The justification for the large allocation to the SWiP is the high associated liquidity that is needed for a high withdrawal rate. In sum, Edward will forego a large bequest goal for a high withdrawal rate with a maximized retirement sustainability quotient.

The Main Takeaway

The hypothetical case studies I have just illustrated obviously should not be taken literally as actual investment or insurance recommendations for real people. Rather, the aforementioned mini-stories should be viewed as tools for thinking about the characteristics that